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TAB 27



Los Angeles Unified School District

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333 South Beaudry Ave,
Los Angeles, CA 90017

Board of Education Report

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Special Report

Receipt of Results of the April 2024 Go Refunding Bond Sale and Comparison of Good Faith Costs of Issuance Estimates and Actuals (030-23/24)

INTEROFFICE CORRESPONDENCE

Los Angeles Unified School District
Office of the Superintendent

INFORMATIVE**DATE:** May 28, 2024**TO:** Members, Board of Education**FROM:** Alberto M. Carvalho, Superintendent**SUBJECT: RESULTS OF THE APRIL 2024 GO REFUNDING BOND SALE AND
COMPARISON OF GOOD FAITH COSTS OF ISSUANCE ESTIMATES AND
ACTUALS**

On April 24, the District successfully sold \$2.97 billion of its 2024 General Obligation Refunding Bonds Series A (the “Refunding Bonds”). This sale marks the District’s largest bond issuance to date and, at the time of issuance, was the largest tax-exempt municipal bond issuance in the country for 2024. The transaction generated significant taxpayer savings totaling \$173.9 million over the life of the bonds. The transaction closed on April 30, 2024.

Background Information:

June 2023: The Board of Education approved a resolution authorizing the issuance of General Obligation Refunding Bonds, estimated at \$528 million, to be issued in Spring 2024. This series would refund the District’s 2014 General Obligation Refunding Bonds Series B, C, and D (the “Refunded 2014 GOs”).

January 2024: The Board approved an additional resolution authorizing a \$2.42 billion issuance of General Obligation Refunding Bonds, also to be sold in Spring 2024. This series would refund the District’s Federally Taxable Build America Bonds: General Obligation Bonds Series KRY (2009) and Series RY (2010) (the “Refunded BABs”).

To optimize efficiency and reduce issuance costs, these two series were combined into one larger series.

Updated General Obligation Bond Ratings:

In April 2024, the District received updated ratings:

- Moody’s Investor Services: Aa2
- Fitch Ratings: AAA
- KBRA: AAA

Sale Results:

Over a two-day pricing period, the District received more than \$10 billion in orders from over 120 investors, far exceeding the \$2.97 billion available. This strong demand led to a reduction in interest rates from the beginning of the order period on April 23rd through the end of the order period on April 24th, with a final true interest cost of 3.04% over 10 years.

Cost Comparisons:

The actual costs of issuance were \$780,292 less than the Good Faith Estimates, primarily due to the consolidation of the bond series. The detailed comparison is provided in Exhibit A.

True Interest Cost (TIC):

- **Good Faith Estimate:** 2.30%
- **Actual:** 3.04%
- **Difference:** 0.74%

The increase in TIC is primarily attributed to a 48 basis point rise in tax-exempt interest rates between January 8, 2024, and the bond pricing date.

Finance Charge Comparison:

Category	Good Faith Estimates	Actuals	Difference
Rating Agency – Moody's	\$ 242,250	\$ 148,000	\$ (94,250)
Rating Agency – Fitch	183,000	145,000	(38,000)
Rating Agency – Kroll	218,000	100,000	(118,000)
Bond Counsel	185,000	130,000	(55,000)
Disclosure Counsel	262,000	145,000	(117,000)
Municipal Advisor + Travel	203,000	162,514	(40,486)
Underwriters' Discount	6,186,851	5,907,331	(279,519)
Other Expenses/Contingency	97,522	59,486	(38,036)
Total	\$7,577,623	\$6,797,331	\$(780,292)

Proceeds Received:

- **Good Faith Estimate:** \$3,440,920,230
- **Actual:** \$3,331,661,579
- **Difference:** \$(109,258,651)

Total Payment Amount:

- **Good Faith Estimate:** \$3,968,792,598
- **Actual:** \$4,010,456,900
- **Difference:** \$41,664,302 (1.1% higher due to increased interest rates)

Overall, the Total Payment Amount on the Refunding Bonds is \$173.9 million lower than the remaining payments on the Refunded Bonds.

I extend my gratitude to the Treasury team for their hard work on this bond sale. Should you have any questions, please contact Timothy Rosnick at (213) 241-7989.

c: Devora Navera Reed

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ATTACHMENT: EXHIBIT A
COMPARISON OF GOOD FAITH ESTIMATES & ACTUALS FOR THE BONDS

Exhibit A – Comparison of Good Faith Estimates & Actuals for the Bonds

The Good Faith Estimates of Costs of Issuance were as of April 27, 2023 and January 8, 2024, prior to Board approvals on June 13, 2023 and January 23, 2024, respectively. Separate Good Faith Estimates were included in each of the two resolutions.

- 1. True Interest Cost (“TIC”) of the Bonds:** The rate necessary to discount the amounts payable on the respective principal and interest payment dates to the purchase price received for the Bonds.

Good Faith Estimate ¹	Actuals	Difference
2.30%	3.04%	0.74%

The primary reason that the TIC of the Bonds was higher than estimated in January 2024 is because interest rates rose considerably during this time period. Between January 8, 2024 and the pricing date of the Bonds, tax-exempt interest rates as measured by the 10-year MMD index rose by 48 basis points.

- 2. Finance Charge of the Bonds:** The sum of all fees and charges paid to third parties (or costs associated with the Bonds). The actual costs of issuance were \$780,292 less than the total good faith estimates. Most of the reduction in costs was a result of combining the two separate authorizations into one larger deal.

Category	Good Faith Estimates ¹	Actuals	Difference
Rating Agency – Moody’s	\$242,250	\$148,000	\$(94,250)
Rating Agency – Fitch	183,000	145,000	(38,000)
Rating Agency – Kroll	218,000	100,000	(118,000)
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Other Expenses/Contingency	97,522	59,486	(38,036)
Total	\$7,577,623	\$6,797,331	\$(780,292)

- 3. Amount of Proceeds Received:** The amount of proceeds received by the District for the sale of the Bonds less the finance charge of the Bonds described above, and any reserves or capitalized interest paid or funded with the proceeds of the Bonds.

Good Faith Estimate ¹	Actuals	Difference
\$3,440,920,230	\$3,331,661,579	\$(109,258,651)

¹ Represents the combined Good Faith Estimates for the June 13, 2023 and January 23, 2024 Board approvals.

4. **Total Payment Amount:** The sum total of all payments the District will make to pay debt service on the Bonds plus the finance charge of the Bonds described in 2 above not paid with the proceeds of the Bonds, calculated to the final maturity of the Bonds.

Good Faith Estimate ¹	Actuals	Difference
\$3,968,792,598	\$4,010,456,900	\$41,664,302

The Total Payment Amount was higher by 1.1% due to higher interest rates. **The Total Payment Amount on the Refunding Bonds is \$173.9 million lower than the remaining payments on the Refunded Bonds if the Refunding Bonds were not issued.**